

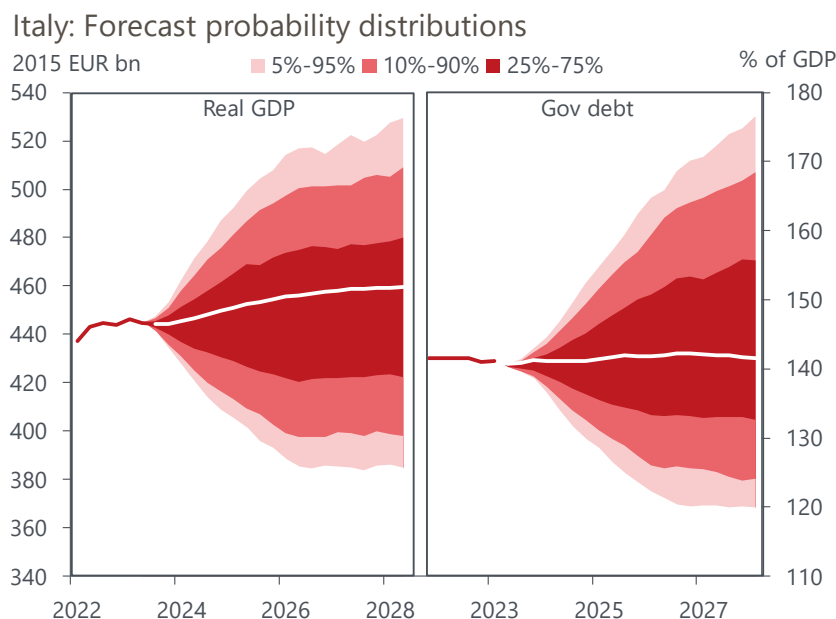
Research Briefing | Eurozone

Italian debt – Once again walking a tightrope

- Italy is testing the market's limits with its swift [shift](#) towards a looser fiscal stance. In our baseline case we do not assume a debt crisis, but there are several factors that could spur a sell-off in Italian bonds, bringing the BTP-bund spread to an alarming level of around 300bps and negatively impacting the Italian economy.
- Our analysis sees the probability of a decline in the debt-to-GDP ratio over a five-year period at only around 45%. This is due to the downside risks around our GDP forecast and the amplifying negative effects on debt from higher interest rates.
- Over the medium term, returning to a sizeable primary surplus of around 1.5%-2% of GDP is essential to keep debt on a sustainable path, as nominal GDP growth is expected to be lower than the effective interest rate. This does not have to be done overnight, but a clearer path towards a primary balance would help in producing more favourable economic and financial conditions.
- Putting Italian debt on a sensible path would help with external risks. The main one is the surge of the risk-free rates, which ultimately, alongside the spread, impacts Italian yields. In a recent publication, we [noted](#) that the pickup in long-term rates has gone too far, but it is possible that this divergence will remain for longer than expected, especially in light of a more [hawkish](#) European Central Bank.

Our baseline case does not assume a debt crisis in Italy as we do not see BTP yields surging to alarming levels, but forecasts the government debt-to-GDP ratio as broadly stable at around 140% over the coming years. We expect real GDP over the next three years to grow at 0.9% on average, a relatively strong rate for Italy, [helped](#) by support from Next Generation EU (NGEU), with inflation gradually decreasing and monetary policy [lowering](#) interest rates. This scenario will only see a slow return to the high primary surplus Italy had during the five years before COVID, something that Italy needs to put debt on a sustainable path.

Chart 1: Probability of a decline in Italian debt to GDP is only around 45%



Source: Oxford Economics/Haver Analytics

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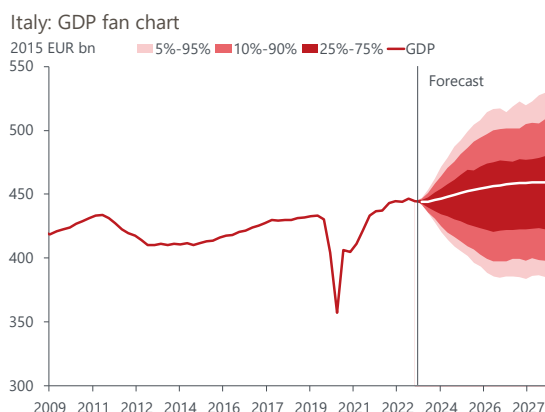
However, around this central scenario, there are several risks: economic risks, political risks, and a set of exogenous factors.

Economic risks

In terms of economic risks, the clear short-term risks for Italy relate to the ongoing stagnation. Our view is for Italian growth to pick up from next year, helped by a combination of rising real personal disposable income, lower interest rates, and improving global conditions. Although, if Italy fails to recover from the start of next year, 2024's GDP growth rate would be closer to zero, rather than the 0.6% that we have in our latest baseline, widening the gap with the latest official government forecast of 1.2%.

To have a more systematic approach, we built a model of the Italian economy that generates possible alternative paths for GDP growth, labour market, interest rates, and fiscal metrics using our own GDP historic forecast errors as a guide (see **Box 1** for the methodology).

Chart 2: GDP risks are skewed to the downside



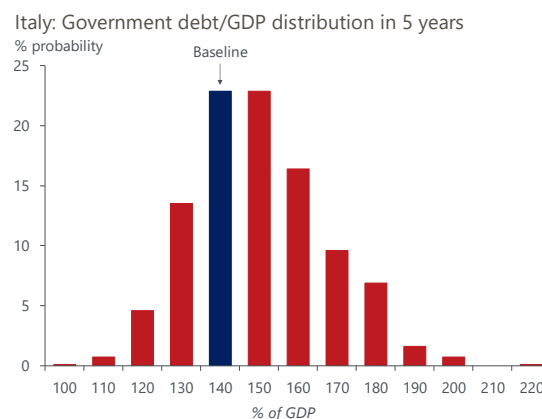
Source: Oxford Economics/Haver Analytics

In general, the results of this exercise are a clear cautionary tale for the Italian government. As the forecast error distribution is skewed to the downside due to the relatively higher risk of sudden downturns, the resulting GDP forecast distribution is asymmetric.

Similarly, the forecast distribution of government debt will be skewed to the upside: our baseline puts government debt to GDP at just over 140% in five years. But stochastic analysis sees it below 120% in only one-twentieth of cases and above 160% in one-fifth. This is due to the negatively skewed path for GDP growth and from the amplifying negative effects on interest rates.

The probability of a decline in debt over the next five years is only around 45%. This is unsurprising, as we do not have a decline in our baseline case until 2028, but it emphasises the negative risks around our baseline.

Chart 3: Our baseline of a stabilising debt to GDP over the coming years is subject to several downside risks



Source: Oxford Economics/Haver Analytics

Political risks

In relation to the political risks, the main one is that the current government might not see keeping a sizeable primary surplus as a priority, something that has traditionally been a cornerstone of Italian economic policy for most of the recent governments.

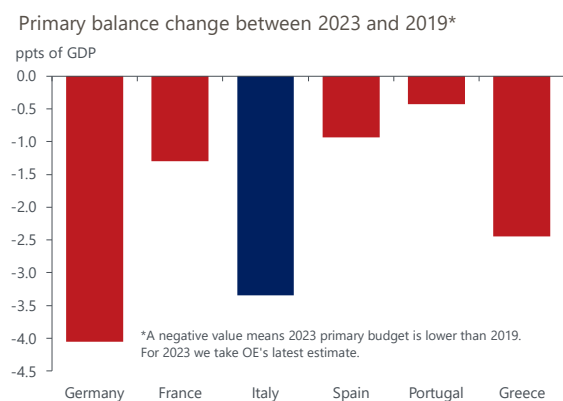
Over 2015-2019, Italy managed to stabilize its debt-to-GDP ratio, mainly because it kept a sizeable primary fiscal surplus of around 1.5% of GDP, but the COVID crisis and the energy crisis in Europe resulted in enormous fiscal expansion.

During 2021-2023, the Italian governments have been glacial in reverting those fiscal policies (**Chart 4**), the majority of which were in theory temporary.

The stabilisation of public accounts was [delayed](#) in the last budget, which sets the return to a sub-3% of GDP deficit only at the end of the policy horizon in 2026, with the primary balance returning to a small surplus in 2025.

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Chart 4: Italy is lagging in terms of fiscal normalisation with respect to 2019



Source: Oxford Economics/Haver Analytics

In the current government's projection, there is an implicit return of the full social payment scheme by 2025. This was temporarily cut for 2023 with the current government extending this cut, worth around €10bn, to next year. It is possible that this measure will continue to be extended each year. If this is funded by a larger deficit, it will mean additional deterioration of the fiscal balances.

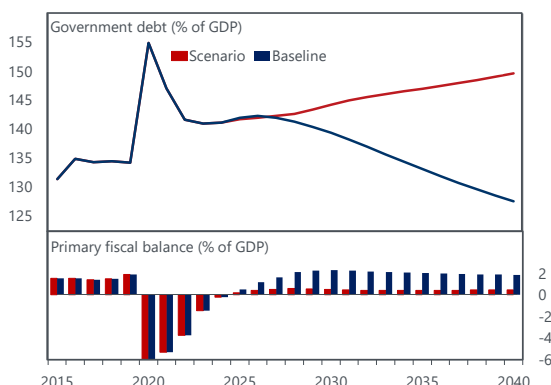
In the medium term, we continue to expect the Italian authorities to implement fiscal tightening measures that will gradually bring the primary surplus close to the 2015-2019 level. This is essential in putting the debt over GDP on a sustainable path, given our forecast for nominal growth rates remains extremely subdued over the medium term, and marginally lower than the effective interest rate Italy is seen paying.

The importance of this adjustment on the fiscal side can be seen in a simple alternative simulation done with our Global Economic Model. In this simulation, we initially assume a fiscal primary budget over 2025-2040, down from the almost 2% of GDP that we currently have in our baseline. This will result in some marginal gains in nominal GDP, which will then help the primary fiscal balance to remain marginally positive.

However, that is clearly not enough to put the debt on a sustainable path. The debt-to-GDP ratio in this scenario does not diminish and increases to 150% of GDP by 2040 (**Chart 5**). This scenario does not even account for the likely sharp rise in Italian bond yields as investors flee, which would amplify the rising debt path.

Chart 5: A lower primary surplus will jeopardise the decrease in debt

Italy: Fiscal Metrics



Source: Oxford Economics/Haver Analytics

Exogenous factors impacting Italian debt

There are other factors that could impact the Italian debt and most likely will result in some frontloaded increases in bond yields.

The main one is in relation to the level of the relevant risk-free rate – the German bund. In a recent [publication](#), we noted that the pickup in long-term forward rates has gone too far. We judge that the neutral rate is lower than what financial markets assume and expect those increases to be partly reversed.

However, it is possible that this divergence will stay there for longer than we think, perhaps in light of a more [hawkish](#) stance from the ECB.

As the BTP-bund spread has recently shown itself to be highly dependent on the level of the long-term yield, this would mean a more than proportional increase for the Italian yields.

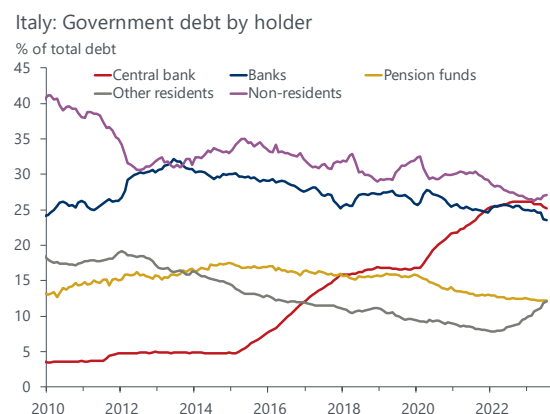
If those increases on BTP yields remain limited in time, they are not a major issue because Italy still retains a relatively long debt duration of around seven years. But a gradual 1ppt increase in the effective interest rate, currently at around 3%, over a seven-year period will cause a public-debt increase of around €150bn, or 7% of 2023 GDP.

Other pressures on Italian government bond yields could come from the decision to accelerate the end of the reinvestments of the ECB's Pandemic Emergency Purchase Programme, which so far is expected to continue "until at least the end of 2024". This amounts to around €50bn per year for Italy and could represent an additional headache for the Meloni government.

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Since early 2022, households have widely supported the issuance of Italian bonds, while all other holders decreased their shares (**Chart 6**). But it is difficult to think that this trend will persist over the coming years, hence, some net debt buyers will have to come from abroad.

Chart 6: Italian residents have been buying Italian debt recently



Source: Oxford Economics/Haver Analytics

With the fiscal numbers presented in the budget, there is a distinct possibility that next year the European Commission will propose the Council opens an Excessive Deficit Procedure for Italy.

This, in principle, will mean that Italy will not be eligible for the ECB's Transmission Protection Instrument (TPI), unless it takes effective action in response to an EU Council recommendation. The use of the TPI by the ECB in case the spread widens is not a given as it is subject to counter "disorderly market dynamics that pose a serious threat to the transmission of monetary policy across the euro area".

Conclusion

Overall, Italy looks like it is testing the market's limits, and the materialisation of any of the risks above could quickly shift market sentiment with the spread reaching alarming levels.

Over the past few decades, the Italian debt has been subject to some crises of confidence. If markets again question the Italian ability to repay its debt, the Italian yield will increase to a concerning level, with self-fulfilling worries producing a liquidity crisis.

The impact on the economy will then depend on swift reactions by policymakers, in Rome and in Frankfurt.

Box 1: A stochastic model for Italy

The model consists of five equations representing GDP, employment, earnings, GDP deflator, and the BTP spread with the German bund.

$$GDP = f(\text{interest rates}, \text{potential GDP}, \text{world trade})$$

$$\text{earnings} = f(GDP, \text{employment}, \text{labour supply}, GDP \text{ deflator}, NAIRU)$$

$$\text{employment} = f(\text{employment}, GDP, \text{earnings}, GDP \text{ deflator})$$

$$GDP \text{ deflator} = f(\text{earnings}, \text{employment})$$

$$\text{interest rate spread} = f(\text{government debt})$$

A set of identities comprising fiscal variables is then added to the system, with a fiscal rule such as the government will change taxes and primary expenditure in a way that allows it to maintain the OE baseline expected path for the primary balance. This means that it will not deviate from the current baseline scenario in public finances, even in the event of a severe downturn. The system is estimated by two-stage least squares, using potential output, the NAIRU, labour supply, and global demand and their lags as instruments.

Before running the Monte Carlo simulation, factors are added so that the baseline from the stochastic model is broadly consistent with our baseline. For GDP, we use the standard error of our historical forecast at different horizons to obtain a more appropriate distribution. We skew the distribution of innovations to introduce downside risks to GDP growth. We then run 1,000 Monte Carlo simulations and plot the results.